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Graduated take rate

This document explores design options for a graduated take rate model. Our goal is to identify and evaluate approaches that balance business objectives with user experience.

⚠ All designs are just concept explorations.

[DEV-136407] Graduated take rate

403 ERROR

The request could not be satisfied.

Request blocked. We can't connect to the server for this app or website at this time. There might be too much traffic or a configuration error. Try again later, or contact the app or website owner.
If you provide content to customers through CloudFront, you can find steps to troubleshoot and help prevent this error by reviewing the CloudFront documentation.

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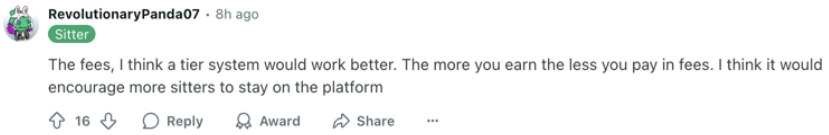
Insights and ideas

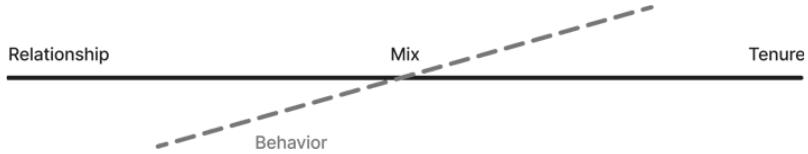
- Most sitters are aware that Rover charges a service fee, but fewer understand the exact percentage being deducted from their earnings. Results_Sitter fees test - Fees awareness
- The T&S team has seen a handful of recent incidents with Star Sitters who have been offering care for 3 months or less. One Pager: Star Sitter Qualifications Update (August 2025)
- *We believe* the potential to earn a specific reward that you have to work towards will increase interest in understanding the details, therefore it will increase awareness and comprehension.
- Based on the feedback we have been seeing on social media, Star Sitter today seems to be "happening" to sitters without them ever trying - it's cycling naturally. The value of it is also fuzzy.
- When there's a tenure component, we believe it will make newer sitters more careful to divert, even in cases when then owner triggers it (i.e:. won't divert to get to the xth booking faster).
- *We believe* the 0% goal, even if unattainable could be a great driver of behavior.
- Repeat vs. Acquisition · There is a fundamental split in business models between continents:
  - **North America:** Top sitters are **repeat**-driven, earning the majority of their income from existing clients. This repeat-focused business happens only for the top 16-19% of sitters. If this is the case, the impact of a graduated take might be less as they are already repeat-driven, but it matches their current behavior and we might be able to extend the repeat concept.
  - **Europe**: Top sitters are **acquisition**-driven, relying on a constant stream of new clients. They rarely cross the threshold to a repeat-focused business, even at the highest percentiles. If this is the case, we might drive more diversion because of the first booking increase in take, but might be interested because repeats might start happening on platform.
- Our hope is impacting bookings of owners that repeat services within enough frequency (we assume Rover is their plan A).



Levers

On one end, we have relationship-based models, where the take rate varies between a sitter and client based on completed bookings, units or something like GBV (e.g., a higher take rate for the first booking than for the second). On the other end are tenure-based models, where the take rate decreases with the sitter's experience or total bookings (e.g., the first booking is x%, the tenth is y%).

Additionally, we consider a diagonal axis of behavioral factors. For example, we could assign different take rates based on sitter performance or status.



We can also combine these approaches. We can introduce models that consider a combination of relationship, tenure, and behavioral factors. These models can be simple or sophisticated, allowing us to adjust the take rate based on a blend of a sitter's tenure, client relationships, and performance.

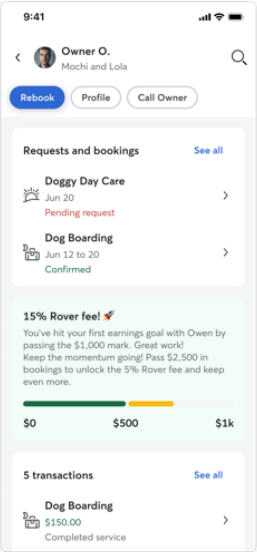
This exploration aims to outline these options and provide a framework for decision-making as we refine our graduated take rate approach.

Relationship-based

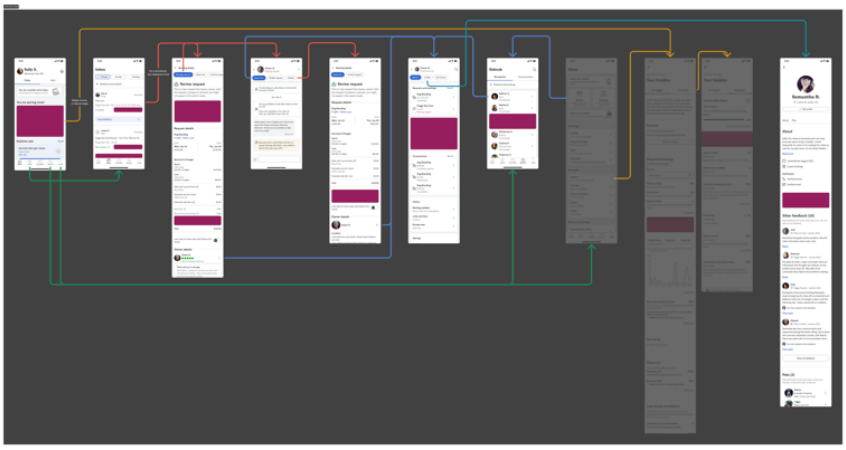
Relationship-based models focus on the sitter-client dynamic, adjusting the take rate as their relationship grows. Typically, the take rate decreases with more client bookings, structured per booking or after a set number (e.g:. every 5th booking).

However, current sitter-client dynamics show that sitters often use Rover for the first booking to secure a review and trust. There are also signals that tell us a second booking occurs on-platform for repeat metrics. After initial bookings, the incentive to book through Rover may decrease if the take rate is high. **A graduated, relationship-based model could encourage continued bookings on Rover by lowering the take rate with each subsequent booking.**

See more about assessing criteria for a relationship based take rate here.



Relationship page mock-up



Relationship touch points

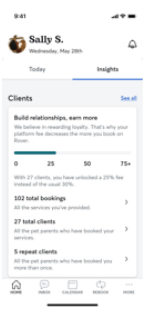
A relationship-based model can use existing touch points, but the experience may be subpar. Currently, we lack a central place to evaluate a relationship's history (bookings, transactions, shared media, etc.). The existing platforms for pet parents who have booked with a sitter (rebook tab in apps and past owners page on the web) offer limited information.

Creating or iterating on dedicated touch points becomes more or less critical depending on the measurement unit. For example, if we use Gross Booking Value (GBV), a relationship page to assess client-sitter transactions is essential, as tracking in request touch points like booking details may be insufficient.

A **relationship page** or a client dedicated space to track progress **may be a must.** A consideration is how deep these touch points exist, as it might limit the discoverability of them.

Deep diving in GBV as a criteria WORKING ON THIS

Deep-dive: relationship-based



Total clients mock-up

Tenure-based

A take rate model that decreases solely with tenure, such as lowering fees over time or after a certain number of bookings, rewards sitters for staying active on the platform. However, this approach doesn't address diversion: sitters could use Rover mainly to acquire new clients, then move bookings off-platform as their costs drop, offering little added value to Rover.

For this reason, **tenure-based incentives should be combined with relationship or behavioral criteria to better align incentives, encourage loyalty, and reduce diversion risk.**

See example from Preply: Preply commission model | Preply Help Center

A tenure based model doesn't need necessarily new touch points in a user journey. We have the Sitter Insights that can act as a central to evaluate progress, and depending on the measurement unit, we might not require a big iteration. If we decide to pursue GBV as a tenure measurement, we might have to add that information.

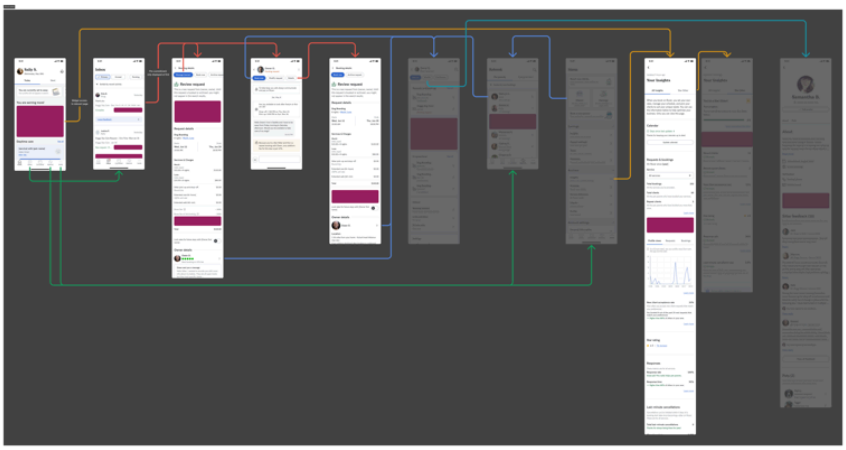
We **should** consider to add breadcrumbs (e.g:. booking details, inbox, etc.) to let the sitter know how a booking/request makes them progress (e.g:. this is the 10th), and possibly improve the discoverability of the Sitter Insights by looking into navigation or bringing Insights widgets to other areas of the product.

Having a glimpse in a high visibility area such as home tab to track progress **is a must.**

Recency criteria

We can add a recency layer to the model. While this risks driving users off-platform, it could prevent gaming. We would consider a recency signal, such as a number of bookings within the last year. This could encourage repeat platform behavior, allowing users to maintain the metric and a lower rate.

When layering recency, we can ensure bookings, unit or GBV happens within a specific timeframe. This relates to tenure, as we may not want sitters who only work summers to receive benefits like lower take rates.



Tenure touchpoints

If we have a recency layer on either tenure or any other types of model, the need for tracking increases drastically as the state of the world might change without any action or change (e.g:. past 6 months, new year, etc.). This makes it so that breadcrumbs, high visibility widgets and proper tracking in dedicated places such as insights, all become **musts.**

Deep diving in GBV as a criteria WORKING ON THIS

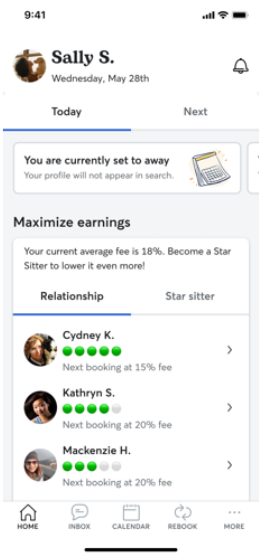
Deep-dive: account-based

Behavior-based

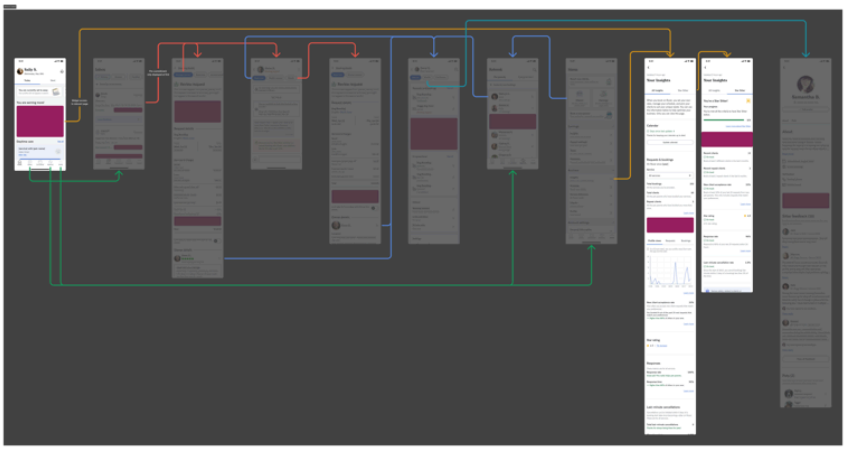
Promoting good behavior is a core goal for Rover, and the Star Sitter program is a natural anchor for this. While Star Sitter currently offers little value beyond the badge, we could link graduated take rate benefits to this status, such as unlocking lower rates faster or setting an aspirational 0% take rate for top performers. If we use a tenure-based model, lower rates could be reserved for Star Sitters who meet tenure milestones.

We could also consider a purely behavior-based model, which may be more effective than tenure alone, as criteria like repeat clients directly address diversion. While other behavioral criteria are possible, tying rewards to Star Sitter, potentially with refined qualifications, ensures clarity and leverages an existing program.

Similarly to how Airbnb rewards hosts who maintain Superhost status for over a year with a $100 gift, we could consider offering a tangible benefit to sitters who consistently achieve and retain Star Sitter status.



Relationships and Star Sitter mock-up



Behavior touch points

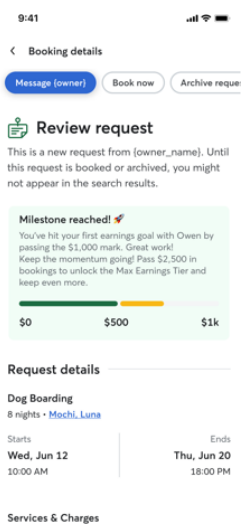
> Similar to tenure, a behavior based model doesn't necessarily need new touch points in a user journey. We have the Star Sitter tab in Insights that act as a central to evaluate progress and sitters already use it to do so.
>
> We **could** consider adding breadcrumbs to drive behavior for specific metrics when they are falling short or are meeting them to remind them of the value of doing things such as replying on time or accepting new clients.
>
> Having a glimpse in a high visibility area such as home tab to track progress **is a should.**

Considerations

Audience

Layering relationships, tenure, and behavioral incentives motivates specific audiences. Relying only on tenure is insufficient; long-tenured sitters may not change their behavior for incentives. Relationship-based incentives may be best, as they focus on new relationships and reflect the platform's value versus cost.

Consider that a sitter with a lot of one-time client might have a hard time making progress in a system that prioritizes repeat relationship only, as it fails to reward the effort of acquiring new business.



Relationship GBV

Measurement unit

We can explore different measurement units such as completed units (e.g., nights, walks) or relationship gross booking value (GBV).

Units and bookings

Tracking completed units adds complexity, as we must account for different unit types across bookings. Tracking bookings might be unfair to services such as overnight where repeat frequency isn't as high as daytime services.

GBV

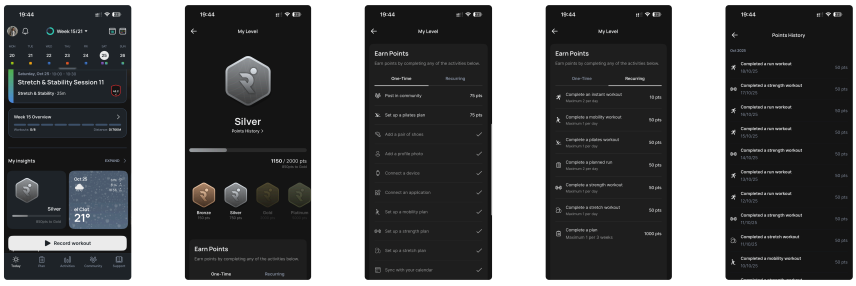
Using relationship GBV requires tracking total earnings or payments exchanged between a client and a sitter over time. Tracking earnings per client is an opportunity on the sitter experience roadmap. Leveraging this data could unlock more nuanced, effective take rate strategies.

GBV with a multi-step approach might be interesting for overnight as we assume they care the most about the 20% fee (larger sum) and with daytime they might care the most about the fact there's a fee (smaller sum).

We believe tying the model to money might be more interesting for top 1 to 3%.

Points

We can use units, bookings, or GBV to design a point-based system, creating fairness across services and using points to track progress. This might interest a larger sitter audience.



Example from Runna

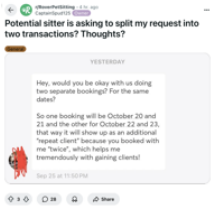
Make it aspirational

This dynamic approach, no matter the measurement unit, could lower the take rate as much as to 3% ? for sitters with loyal clients. Anything below that may not cover costs.

An aspirational goal could be a 0% take rate for the most loyal relationships, though we would have to make it nearly unattainable. This model rewards sitters for fostering strong client relationships, enhancing retention and satisfaction.

Ongoing engagement

Focus on new bookings. We assume existing relationships booked on the platform will not change. The main goal is to attract sitters seeking new clients and encourage their continued engagement. Incentives should be ongoing (e.g:. every new relationship must meet criteria) or reset periodically (e.g:. criteria must be met every 3 months). Avoid models where criteria, once met, do not require future action (e.g:. a one-year tenure).



Feedback on repeat count

Giving a choice to the sitter

We could let the sitter decide. While this seems fair, we must consider users' financial literacy and experience. The struggle to think through the options is real (source).

We could offer a 20% flat rate or a more appealing take rate with upfront costs. This resembles subscriptions, where users can opt in and out of *base* and *premium* plans. The take rate would be the primary difference, but we could add features like better search rankings or exclusive access later.

Subscriptions

We've explored subscriptions and bidded models (pay per request), and sitters showed more interest in subscriptions, possibly preferring them to our current model.

However, when discussing subscriptions, sitters were open to considering them compared to the current model but seemed doubtful of their value — wanting to see if they'd recoup the subscription cost within the same month. The reaction to these programs lacked enthusiasm. Sitters were skeptical about their benefits (source).

Gaming the system

The potential for system manipulation varies by model. Incentives based on fewer bookings (e.g:. lower take after the 2nd booking) are easier to manipulate. As goals increase, it's harder to game the system, though users might divert their business elsewhere. Behavior-based incentives are the most difficult to manipulate, as they require meeting several criteria. Therefore, layering additional incentives when specific behavior is met is interesting when designing a graduated take model.

Moving in and out

The risk of sitters gaming their location when testing in the US may be low due to the friction in our location-based matching system. A sitter who changes their address to a test market won't appear in local search results for their actual location, effectively cutting off their primary source of new clients.

GBV vs. units/booking

When we look at gaming the system, we believe using GBV might be best as you don't play around with money and it's fairly easy for a sitter to play around with number of bookings or units keeping the price the same for the owner, specifically for bigger bookings when the OSF is capped.

Sitters' expectations

It depends on which sitters we are talking about. Even though we've heard that models that align with sitters' expectations either decrease requirements after the first booking or reward loyal sitters, we also have signal that sitters don't feel they currently "pay" for customers (source).

One model might reflect their view of the platform as a lead generation tool. The other model addresses long-standing sitters who continue to get new or repeat business without reward, regardless of specific clients.

> 100% recommend finding clients/sitters and booking outside of the app. Not only does Rover charge customers 11%+ in "fees", they also double dip and steal 20%+ from sitters. That's an unjustifiably huge fee for simply providing a platform- something you can do on instagram, facebook, nextdoor, etc for free. If you're house sitting, those fees take away entire days worth of pay. Dog walking isn't even worth it unless you're charging outrageous prices to combat the fees, and the "customer service" is terrible.
>
> Source

Questions

- How will we define and calculate abstract concepts like "tenure" and "recency"? Does tenure start from sign-up or from the first completed booking? What is the exact look-back window for recency (e.g., "last 365 days")?
  -
- What happens if a booking that qualified a sitter for a lower rate is cancelled or refunded? How are booking modifications handled? If a sitter adds two days to a booking, and that crosses a GBV threshold, does the new rate apply to the entire booking, or just the additional days?
  - **We should only consider the state (e.g:. GBV) of a complete booking to track towards lower fees.**
- What is the lowest % take we can get to in a graduated take rate? 5%? 3%? 0%? Why?
- Top sitters in North America are repeat-driven and in Europe are acquisition-driven? Can we take learnings from Europe to North America when their models are so different?
  - **We are leaning towards no, so we will use Canada as our testing ground.**
- What does repeat-driven mean? Is it 2nd and 3rd booking?
- What relationships do we want to impact? Yearly holiday or date, business trip, kind of frequency relationship?

Qualitative

- Do sitters expect a relationship-based model to apply retroactively? *E.g:. We launch it and a long standing relationship crossed the threshold a long time ago. Would they expect to take have a lower take from day one? We plan on doing this, use past booking data towards progress. Would they expect past fees to be refunded because they have passed the threshold a long time ago? We don't plan on doing this in any way, but curious if it's an expectation.*
- Do sitter resonate better with 5% fees or 95% earnings? *E.g:. Should we address take in what they "pay to the platform" or how much they gain and take home? We can say we take 5% from their booking total, or that they get 95% of the booking total.*

Decisions

- What is the simplest possible version of this model we can launch first? Is a relationship-only model a sufficient V1 before layering in tenure and behavior?
- We've identified that tracking different units like "nights" vs. "walks" is complex. A decision needs to be made. Is a "booking" the unit, regardless of length or value? Or is it cumulative value (GBV)? Each has different implications for sitter motivation.

Learnings

- How does a graduated take rates impact sitter pricing? We heard that they add the % to their listing price to cover the "cost of doing business".

Explorations

Initial explorations

Idea	Example	Rel.	Tenure	Behavior
Decrease take **per booking** on a relationship level until they reach the last step	Everyone: 30% → 25% →	✅	❌	❌

	20% → ... → 3%			
	After the xth booking	✅	✅	❌
	Star Sitters: 27% → 23% → 17% → ... → 0%	✅	❌	✅
Decrease take on **3rd booking** on a relationship level	Everyone: 30% → 15%	✅	❌	❌
Decrease take after **$1k GBV** on a relationship level	After the xth booking	✅	✅	❌
Decrease take after **20 units** on a relationship level	Star Sitters: 25% → 10%	✅	✅	✅
Decrease take **after xth bookings**	Everyone: 30% → 15%	❌	✅	❌
	Star Sitters: 25% → 10%	❌	✅	✅
Different take within different time periods	Less than one year: 30% Between 1st and 2nd year: 25% Past 2nd year: 15%	❌	✅	❌
	Decrease 5% on the	✅	✅	❌

	3rd booking			
	Star Sitters have a 5% decrease	✗	✓	✓

Comparison

Model	Experience	Pros	Cons / risks
Relationship	"The more I book with the same client, the more I earn from them."	Simple to understand: directly ties the reward to the action we want (on-platform rebooking)	Doesn't reward overall loyalty: a sitter with 20 different first-time clients gets no benefit.
Relationship GBV	"After I earn my first $1,000 with a client, my fees for them drop permanently."	Rewards high-value relationships: directly incentivizes sitters to keep large or recurring bookings on-platform.	Complex to track: requires clear UI to show progress toward the goal. Favors high-cost services: sitters offering shorter, less expensive services (like walks) may find the threshold unattainable.
Tenure	"The longer I'm active on the platform, the lower my fees get for all my bookings." "The more bookings I have on platform, the lower my fees get for all my bookings."	Rewards platform loyalty: makes long-term sitters feel valued. Simple logic: easy to calculate "time since first booking" or “total bookings”.	High diversion risk: doesn't prevent sitters from taking repeat business off-platform. Penalizes new sitters: can feel unfair to new users and create a barrier.
Behavior	"Because I'm a Star Sitter, I get a lower fee on all my bookings."	Rewards quality: directly incentivizes the behaviors we want, like responsiveness and high ratings . Aspirational: makes the Star Sitter program feel valuable and meaningful.	Could demotivate: sitters who lose their status may feel punished and churn.

Board-meeting slide

No single model option has emerged as best. ***Feedback is welcomed!***
A combination of models may be our end game. Testing starts in Q4

Lead Gen. Examples: $70 per new customer, 5% thereafter $50 per new request, 5% thereafter *(pay up front, as you go, or over time)*	- Research indicates lead gen fees would be unacceptably high for core services - Models may appeal exclusively to pro segments (e.g. trainers or groomers) - Lead-gen fees may require facilitation via debt facility that could turn off providers
Graduated Take. Examples: 30% on first booking, 10% on repeat 40% on first booking, 5% on repeat	- Better alignment of fees with perceived value for providers - 40/10 is Rover's economically-indifferent rate at today's new/repeat mix - Pulls dollars forward accelerating marketing earnback
Milestone. Examples: 40% for first $120 per relationship, 10% after 30/20/10% based on annual GBV on platform	- Encourages high-value providers to put more business across the platform - Structures pricing to meet the needs of different segments of providers
Subscription. Examples: $35/mo for 10 points off take rate $50/mo for 15 points off take rate	- Providers "maximize" subscription usage by booking through the platform - Subscription revenues are more predictable - Potential additional revenue from breakage - Could create the incentive for subscription arbitrage

We plan to launch a test of **at least one new model in Q4**, likely a graduated take model, and aim to define **two or more additional models** to test by end-of-year

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Presented on 17 Sept 2025 in Monthly Product and Marketplace meeting

Possible recommendation

MVP: Relationship-base model

- **What it is:** A sitter's platform fee will decrease based on repeat bookings with the same client. This is our foundation.
- **Example:**
  - Booking 1 or 10 units with a client: Higher 30% fee.
  - Bookings 2-4 or 11 to 20 units with that client: Standard 20% fee.
  - Bookings 5+ or 21+ units with that client: Lowest 15% fee.
- **Why start here?** It's the easiest model for sitters to understand and it directly addresses our primary goal of preventing relationship-based diversion.
- **Consideration:** If we understand repeat-driven is mainly 2nd and 3rd booking, we should aim to introduce a multi-step approach with an aspirational goal, even if it's hard to get there.

MLP: Use relationships GBV

- **What it is:** A sitter's platform fee will decrease based on GBV transactions between pet parent and provider.
- **Example:**
  - $500 with a client: higher 30% fee.
  - $501 to $1k with a client: 20% fee.
  - $1k to $1.5k with a client: 15% fee.
  - ...
- **Why start here?** It is similar to above but harder to game and can include multiple steps that gamify relationships within the platform, directly addressing our primary goal of preventing relationship-based diversion.
- **Consideration:** This creates an unbalance between services that cost differently and even though a big % of relationships consist of a single service, we need to consider that we might cross sell them from boarding to walking to training.

Hypotheses coming from the UK experiment that this approach supports:

- we can change behavior of people who make more money as they are the ones that might change behavior with monetary incentives — it won't be people who do $3k annually.
- we can change behavior with monetary incentives in bigger price per unit services as the absolute impact is bigger — $5 more in daycare instead of $1 more in walking.

Iteration: Point system to balance different costs of services

- **What it is:** A sitter's platform fee will decrease based on points accumulated when a relationship is maintained on platform. To bring fairness between booking a Boarding and Walking service, points based on GBV will be assigned to different services.
- **Example:**
  - 1 point for every $100 spent on overnight services, $40 on daycare or $20 spent on visit/walk
  - -2% Rover fee for every 100 points
  - Minimum of 3% Rover fee
- **Why start here?** Builds on the previous proposal, but brings fairness to different services (training included).
- **Consideration:** This introduces many layers that can make it complex, hard to track and might drive a disinterest in the program.

Iteration: Introduce behavior-based layer

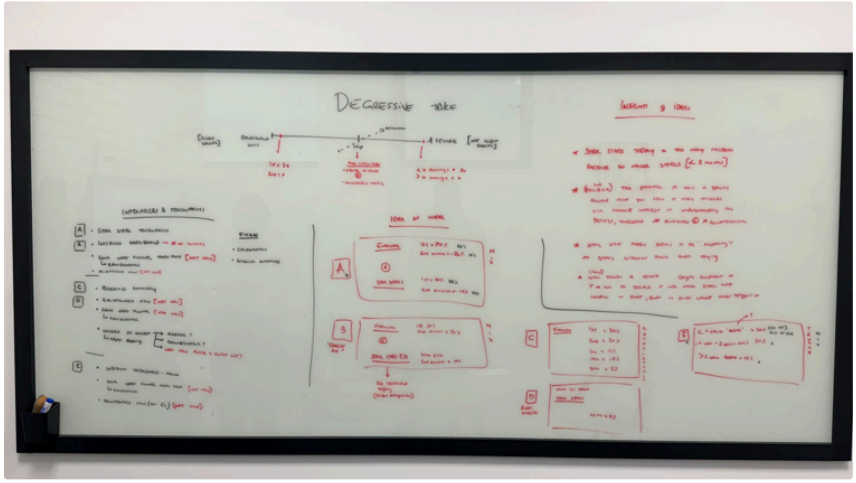
- **What it is:** Sitters who achieve and maintain Star Sitter status will unlock better relationship-based discounts faster.
- **Example:**
  - A regular sitter pays 30% on the first booking.
  - A Star Sitter pays only 27% on their first booking with a new client.
- **Why add this at some point?** This gives the Star Sitter program real, tangible value, turning it from a simple badge into a key business driver. It provides a clear, aspirational goal for all sitters on the platform.

Touchpoints

Touchpoint	Scale	State	Goal
Home	ALL	ITERATION	Education. Progress tacker.
Inbox	RELATIONSHIP TENURE	ITERATION	Nudge sitters to rebook to get a lower take rate next.
Conversation	RELATIONSHIP TENURE	ITERATION	Nudge sitters to rebook to get a lower take rate next and progress reinforcement.
Booking details	RELATIONSHIP TENURE	ITERATION	Display what booking number this is and what is the take rate.
Pre-commit screen	RELATIONSHIP TENURE	REVIVE	Display what booking number this is and what is the take rate.
Rebook	RELATIONSHIP	ITERATION	Display client list and how much they earn per client. Nudge them to rebook.

Client list	RELATIONSHIP	NET NEW	Display client list and how much they earn per client. Nudge them to rebook.
Relationship	RELATIONSHIP	NET NEW	Display bookings and progress tracker.
Sitter insights	TENURE	ITERATION	Display how many bookings or how long they have been on platform
Star Sitter insights	BEHAVIOR	ITERATION	Display Star Sitter status.

Extras

Relationship or tenure models can enhance the sitter experience and boost engagement. Celebrating milestones, such as a sitter's 10th booking with a client, through achievements or shareable artifacts fosters loyalty. Incorporating gamification tactics like progress trackers and celebratory messages at key touchpoints motivates sitters to pursue their next booking.

Appendix